

Chapter 14

Dhandho 403: Invest in the Copycats rather than the Innovators

The first few Patels who figured out the wonderful motel ownership business economics in the United States were the trailblazers. The thousands upon thousands of Patels who simply copied the model did not innovate; they simply lifted a proven idea and scaled it.

The richest South Asian in Southern California is Mr. B.U. Patel, a quiet, unassuming person. B.U. got started in 1976 by buying the very modest 20-room Dunes Motel in Anaheim, California—right outside Disneyland.^{[1](#)} Today, B.U. owns 15 large hotels (including the 1,033-room Anaheim Marriott and the Hilton Checkers in Los Angeles) and has another nine under construction.

When B.U. Patel started to get successful with his motel operation in Southern California 30 years ago, scores of Patels had access to the relatively simple but powerful model he was executing. They could apply that model in any of the other 49 states relatively easily. They could even apply it just five miles away from B.U.'s motel without competing headon with B.U.

Don't get me wrong. These copycat Patels did work very hard, but they were executing a proven, virtually risk-free business model. The proof of the power of that business model is in the numbers. From a standing start as refugees with virtually no capital, a person with the last name Patel today owns one out of every five motels in the United States. That statistic does not include people like Manilal Chaudhuri, who is not a Patel but is from Gujarat in India. He too observed the model carefully and then lifted and scaled it. Innovation is a crapshoot, but investing in businesses that are